

PHOTO BY **MILIND SHELTE**

THE TATA TUSSLE It is an unusual corporate-governance confrontation, and one that could have implications beyond the Tata Group

THE CORE ISSUES

- The issue has raised questions about who is more powerful—the board of Tata Sons or Tata Trusts, its largest shareholder
- Tata Trusts has two nominee directors on the board of Tata Sons—Noel Tata and Venu Srinivasan—who are not agreeing on key issues
- The listing of Tata Sons, the conglomerate's holding company, is another issue that needs to be addressed
- There is no clarity yet on when the Tata Sons' annual general meeting will be held. In line with the law, the deadline is no more than 15 months after the previous one or mid-November this year

crucial test. The question is where the balance of power lies between the two.

WHAT'S AT STAKE?

Tata Sons is the unlisted holding company of the salt-to-aviation conglomerate; 66% of its shares are held by Tata Trusts, of which two entities—Sir Dorabji Tata Trust (SDTT) and Sir Ratan Tata Trust (SRTT)—account for 52%. In turn, Tata Sons holds stakes in multiple Tata Group companies and, hence, earns dividend income that goes to Tata Trusts.

This May, the Maharashtra Charity Commissioner, Amogh Kaloti, issued an order blocking SRTT from convening board meetings or passing resolutions. The intervention followed complaints over the composition of the trust's board. Under the rules, permanent or lifetime trustees cannot account for more than one-fourth of the total number of trustees, while the complaints stated that lifetime trustees were at half the board.

"The functioning has been crippled because of (SRTT's) inability to convene a meeting. The bigger problem lies in the Tata Trusts' nominees board being divided on key issues like Chandrasekaran's reappointment and Tata Sons' listing," Subramanian says.

On September 11, the Reserve Bank of India asked Tata Sons to get itself listed after an application to be exempted from the core investment company category was rejected.

The two Tata Trust nominees on Tata Sons' board—Noel Tata and Venu Srinivasan, TVS Motor Company's Chairman Emeritus—are on opposite sides of the fence when it comes to key issues like Chandrasekaran's reappointment and the listing of Tata Sons.

"If they were in alignment, the decision pertaining to the reappointment may not have been proposed," says Sanjay Kallapur,